

Day Trading Crash Course: Day 104

Understanding Corrections & Multi-Timeframe Alignment

Mastering market pullbacks and structural corrections.

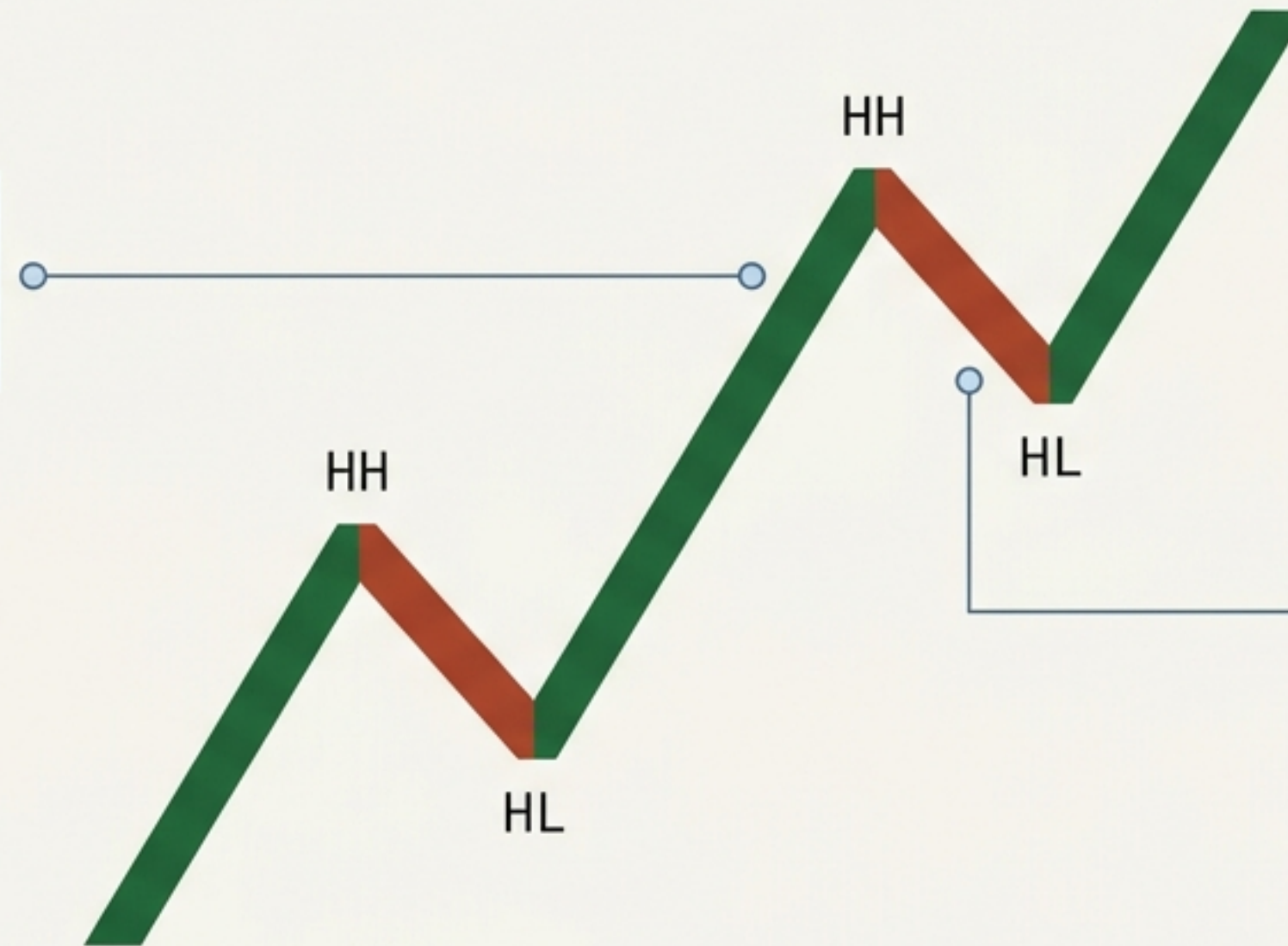
Trading in sync with multi-timeframe flow.

Executing precision entries using macro-to-micro alignment.



A correction is a structural pause, never a trend reversal.

The Indication: The primary trend move that creates a Higher High (HH) or Lower Low (LL).



The Correction: The temporary price pullback that creates a Higher Low (HL) or Lower High (LH).

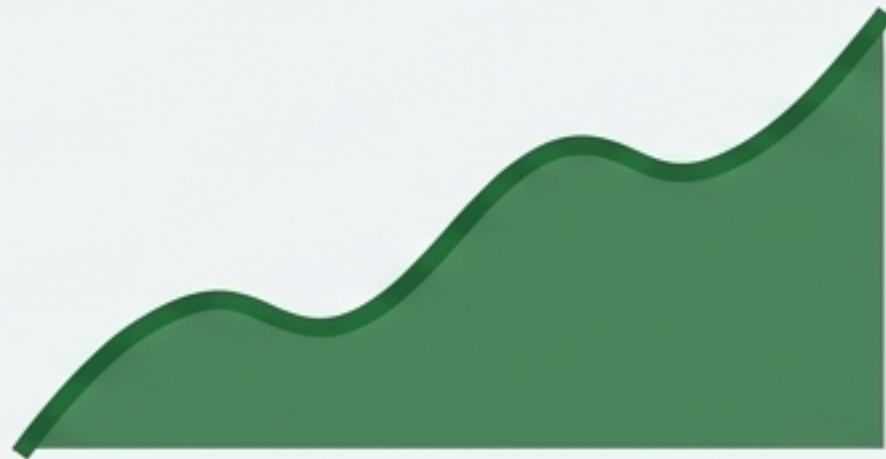
Valid corrections simply pause the momentum; they never break the overarching market structure.

Key Insight: You cannot predict when a correction will start, but you can identify exactly when it is over.

The 3-Timeframe System dictates the top-down analysis workflow.

4H

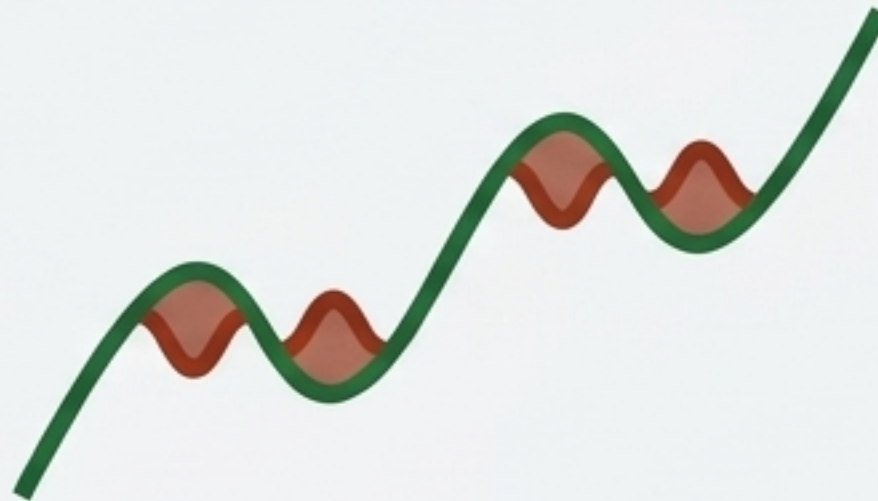
4-Hour Timeframe
(Identify)



Establishes the macro trend and overall direction. Trading with this higher timeframe is the ultimate "cheat code."

1H

1-Hour Timeframe
(Flow)



Tracks the structural flow, keeping tabs on the actual correction as it unfolds.

15m

15-Minute Timeframe
(Details)



Pinpoints the micro-shifts. Used solely to determine when the correction is over.

Identify the dominant market direction on the 4-Hour chart.

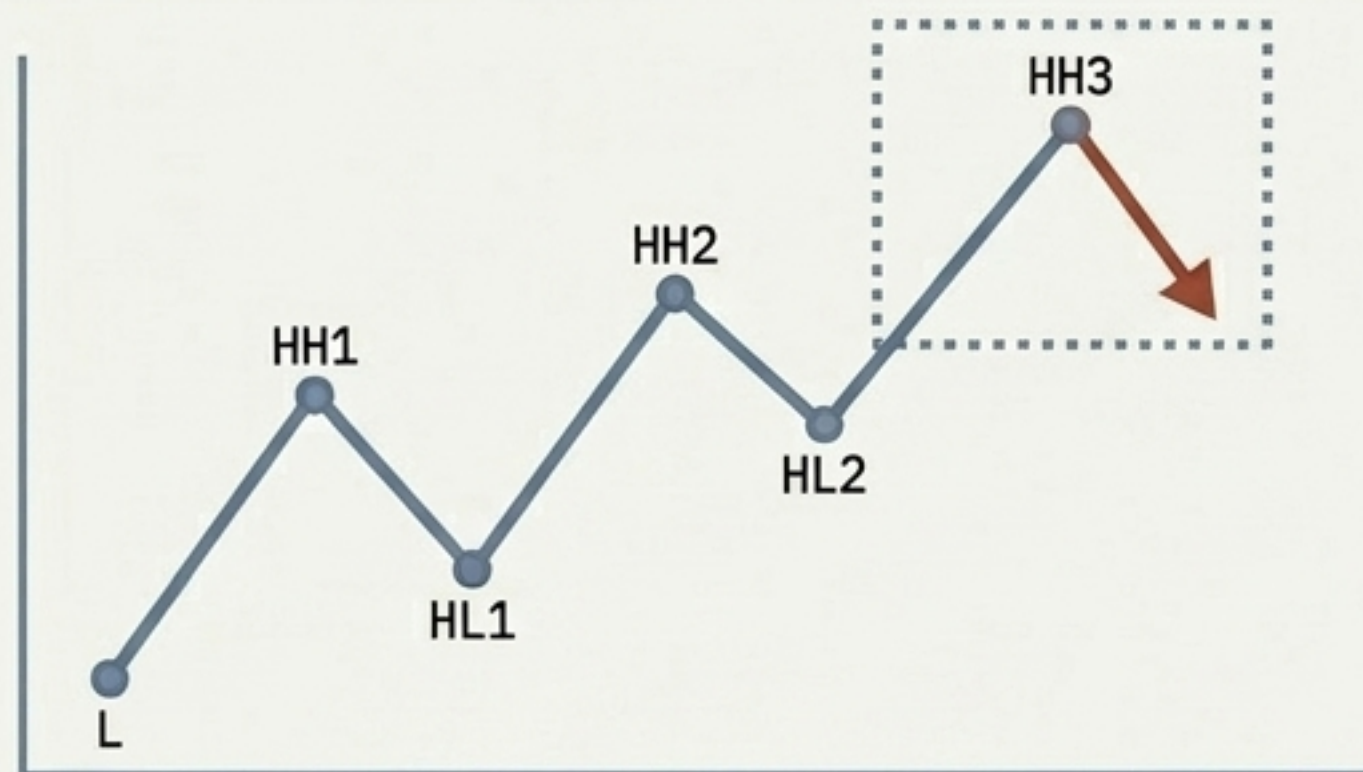


Determine the overarching market direction before looking at any smaller data.

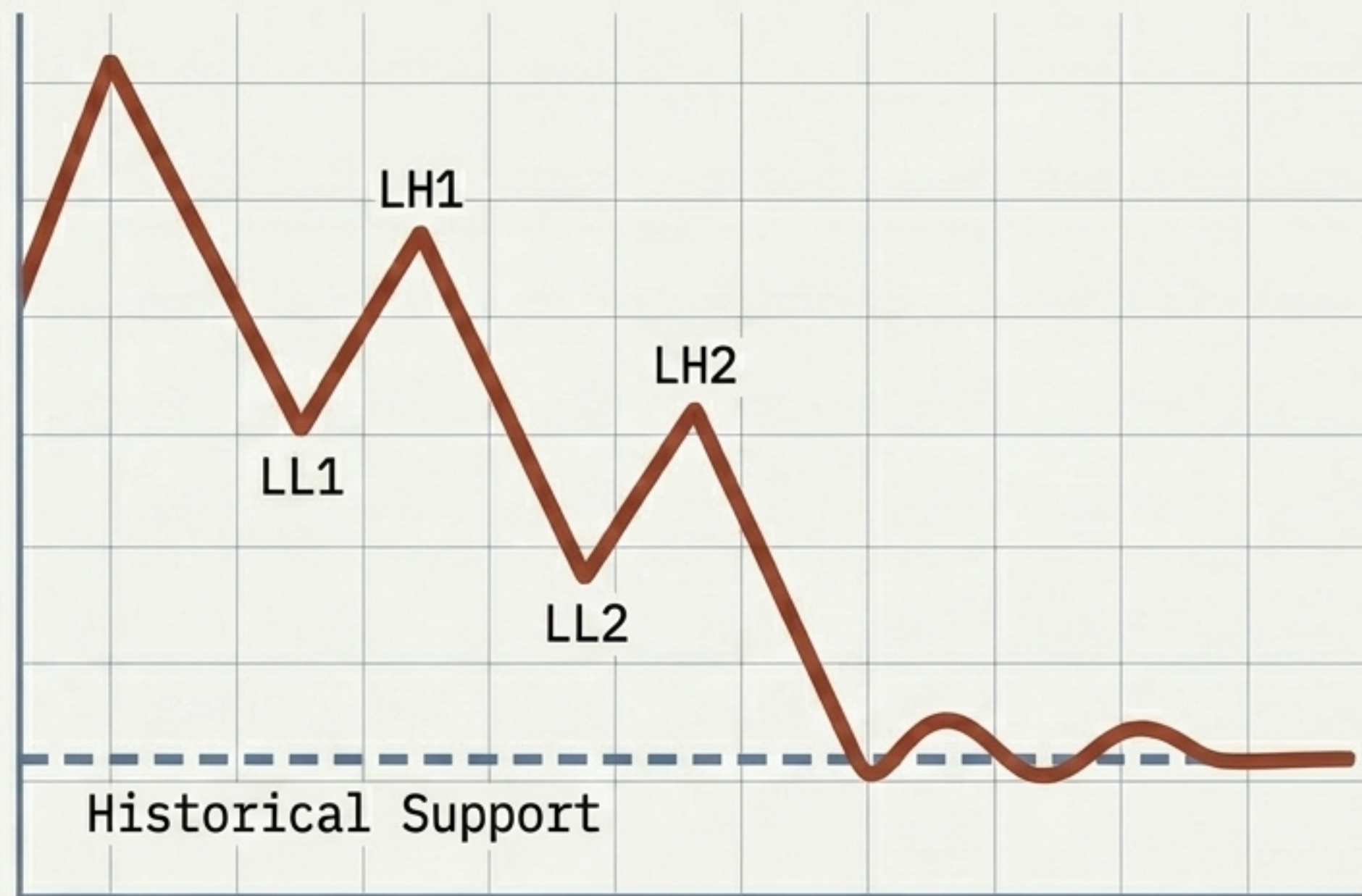
Spot the primary Indications (e.g., price continually making new Higher Highs).

Golden Rule: Do not disregard this macro trend just because smaller timeframes begin to pull back and sell off.

Monitor the corrective flow unfolding on the 1-Hour chart.



Macro 4H View



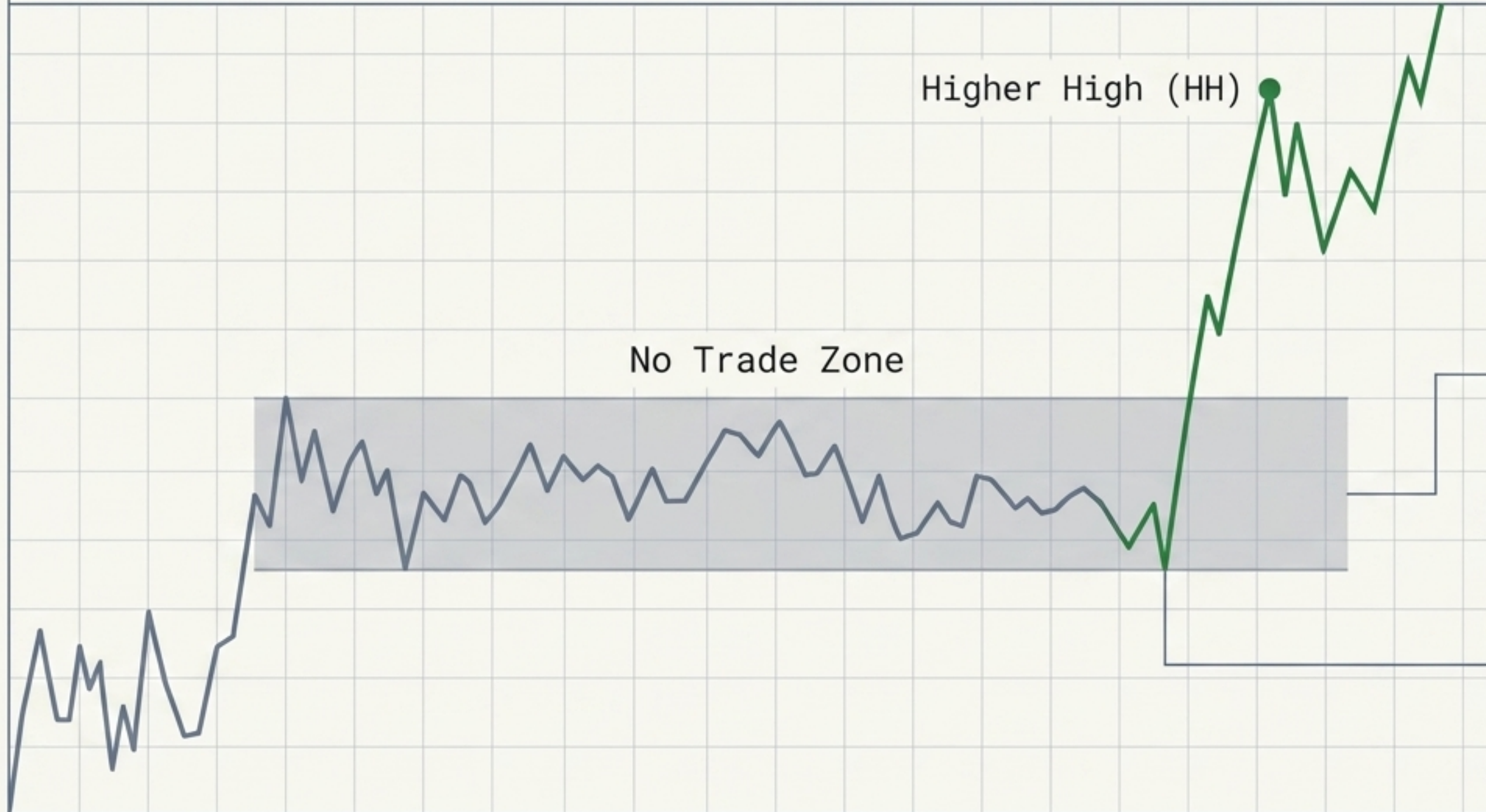
Zoomed-In 1H View

Watch for the price to temporarily form Lower Lows and Lower Highs.

Recognize that this bearish momentum is strictly the corrective phase of the larger 4H uptrend.

Wait patiently for the price action to become stagnant near a previous historical support level.

Pinpoint the precise structural shift on the 15-Minute chart.



Use the 15-minute chart strictly to confirm that the 1-Hour correction is over.

Identify the stagnant consolidation period as a strict 'No Trade Zone'.

Wait for the price to stop making Lower Lows and aggressively break out into a new bullish structure (Higher Highs).

Total timeframe alignment is the absolute prerequisite for entry.



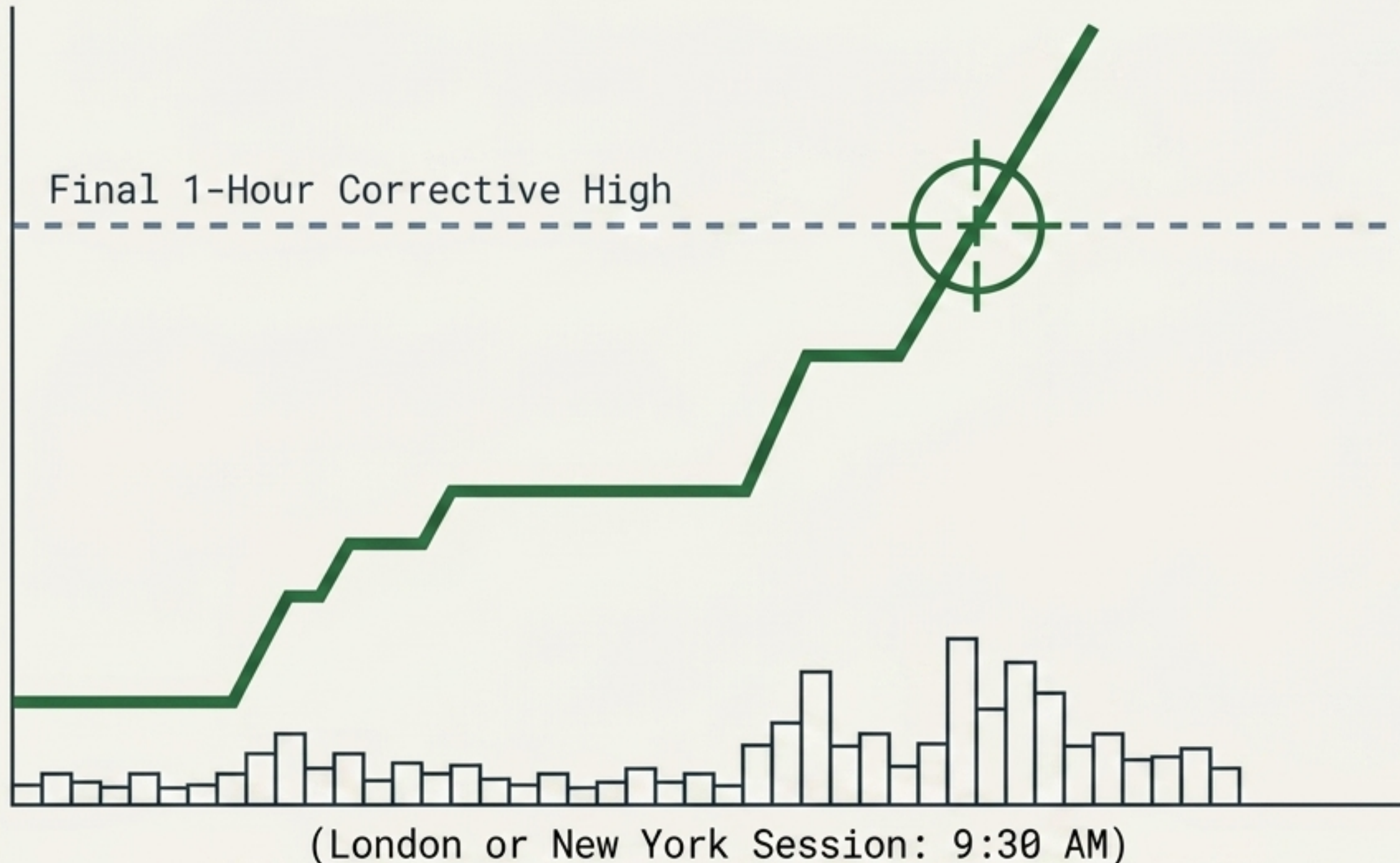
Never execute a trade if the timeframes contradict one another.

You cannot buy if the 4-Hour is bearish but the 15-Minute looks bullish.

Wait for the 15-Minute micro-trend to shift back into the precise direction of the 4-Hour macro-trend.

Every timeframe must be operating on the same accord.

Execute precision entries when micro structure breaks resistance.



- Trigger the entry immediately when the 15-minute timeframe breaks above the final corrective high.
- Verify that the 1-Hour chart has officially resumed its overarching bullish posture.
- Look for volume and momentum to pick up (often aligning with the London session or New York session at 9:30 AM).

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Target macro liquidity levels to set logical profit exits.



Base your profit targets exclusively on the 4-Hour timeframe.	Look left on the chart to identify the next major level of historical sellers.	Market Logic: Highs equal Sellers; Lows equal Buyers.	Hold the trade confidently through smaller 15-minute fluctuations until this macro level is reached.
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The complete correction trading playbook from start to finish.

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